

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-21

PKDC, LLC
Complainant,

v.

CMA CGM S.A
Respondent

**COMPLAINANT'S MEMORANDUM IN OPPOSITION TO RESPONDENTS' PARTIAL
MOTION TO DISMISS THE COMPLAINT**

TABLE OF CONTENTS

BACKGROUND	1
STANDARD OF REVIEW	2
ARGUMENT	3
I. The Commission has jurisdiction over Count I of PKDC’s Complaint.....	3
II. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 46 U.S.C. § 41102(c)	9
III. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 46 U.S.C. § 41104(a)(2)(A)	10
IV. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 41104(a)(10).....	14
V. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 41109(a)(9).....	16
CONCLUSION	17

TABLE OF AUTHORITIES

CASES	Page(s)
<i>Anchor Shipping Co. v. Aliança Navegação E Logística Ltda</i> , 2006 WL 2007808 (FMC 2006).....	5, 9
<i>Baltic Auto Shipping, Inc. v. Hitrinov</i> , 33 S.R.R. at 1230, 1232–33 (ALJ 2015).....	6
<i>20230930-DK-Butterfly-1, Inc. F/K/A Bed Bath & Beyond Inc., v. Evergreen Line Joint Service Agreement et al.</i> , FMC Docket No 24-12, Order Denying Motion for Partial Dismissal of the Complaint Document No. 20.	7,8,16
<i>Bell Atlantic Corp. v. Twombly</i> , 550 U.S. 544, 570 (2007)	3
<i>Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.</i> , 2001 WL 1632548 (ALJ 2001)	3
<i>MAVL Capital Inc. v. Marine Transport Logistics, Inc.</i> , 2020 WL 13512925, at *4 (FMC 2020).....	3,15
<i>MCS Industries, Inc. v. Cosco Shipping Lines Co (MCS I)</i> , 2022 WL 458569 (ALJ 2022)	3, 5, 11, 15
<i>MCS Industries, Inc. v. Mediterranean Shipping Co. (MCS II)</i> ., 2024 WL 95383, at 7 (FMC 2024).....	3, 6, 8
<i>OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG</i> , 2022 WL 538935, (FMC 2022).....	6, 15
<i>TCW, Inc., v. Evergreen Shipping Agency (America) Corporation & Evergreen Line Joint Service</i> 2022 WL 18068977 (FMC 2022).....	12
<i>Way Interglobal Network, LLC, v. Shenzhen Uniflex SCM Limited</i> , 2023 WL 130654 (ALJ 2023)	6

STATUTES

Shipping Act.....	passim
46 U.S.C. § 41104(a)(10).....	15
46 U.S.C. § 41104(a)(2)(A)	10
46 U.S.C. § 41104(2)(A).....	11
46 U.S.C. § 41104(a)(10).....	14, 15
46 U.S.C. § 41104(a)(2).....	11
46 U.S.C. § 41109(a)(9).....	15

Other Authorities

46 C.F.R. § 502.12	2
Federal Rule of Civil Procedure 12(b)(1)	2
Federal Rule of Civil Procedure 12(b)(6)	2, 3

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Complainant, PKDC, LLC (PKDC), by and through its undersigned counsel, respectfully submits this Memorandum in Opposition to Respondent CMA CGM S.A.’s (CMA) Partial Motion to Dismiss (PMTD) PKDC’s Complaint.

BACKGROUND

PKDC brought the instant action to challenge CMA’s conduct that is alleged to be violative of various provisions of the Shipping Act (Shipping Act). These actions included CMA’s systematic refusal to provide the space accommodations agreed upon by the parties in a service contract despite PKDC’s repeated requests, coercing additional fees and costs to provide PKDC carriage under the service contract, and providing space obligated to PKDC under a service contract to other shippers willing to pay in excess of the rates agreed upon by Respondent and

Complainant in the service contract. Counts I, III, IV, and V relate to these actions. *See* Complaint Docket No. 24-21 Doc. No 1 (Complaint). CMA seeks to dismiss these counts.¹

Respondent argues that Count I, alleging the conduct described above violated Section 41102(c) of the Shipping Act, should be dismissed for lack of jurisdiction because it is in essence a breach of contract claim over which the Commission has no jurisdiction.² Alternatively, CMA argues that Count I should be dismissed for failure to state a claim for which relief can be granted because CMA believes Section 41102(c) does not apply to CMA's carriage of PKDC's merchandise. CMA then argues that counts III, IV and V alleging the conduct described above violated Sections 41104(a)(2), 41104(a)(10), and 41109(a)(9) should be dismissed for failure to state a claim for which relief can be granted. For the reasons set forth below, CMA's motion is without merit and should be denied in its entirety.

STANDARD OF REVIEW

Although the Commission's Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MCS Industries, Inc. v. Cosco Shipping Lines Co.*, 2022 WL 458569, at *3 (ALJ 2022)

¹ CMA does not seek to dismiss Count II challenging CMA's detention and demurrage practices.

² Notably, CMA does not seek to dismiss Counts III, IV or V of the complaint for lack of jurisdiction, tacitly admitting that this Commission has jurisdiction to review carrier conduct even if it relates to a service contract.

(*MCS I*) (quoting *MAVL Capital Inc., v. Marine Transport Logistics, Inc.*, 2020 WL 13512925, at *4 (FMC 2020)), *aff'd* sub nom. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, 2024 WL 95383 (FMC 2024) (*MCS II*). When jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MCS I*, 2022 WL 458569 at *3 (quoting *MAVL Capital*, 2020 WL 13512925, at *5).

“Under Fed. R. Civ. P. 12(b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *Id.* (quoting *MAVL Capital*, 2020 WL 13512925, at *5). The facts alleged must ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007) . . . The facts alleged must allow the Commission to reasonably infer that respondent may be liable for the conduct alleged and provide ‘*fair notice*’ of the nature of the claims and bases for asserting them. *MAVL Capital*, 2020 WL 13512925, at *5 (emphasis added). “The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS I*, 2022 WL 458569 at *4 (citation omitted). Where a party has challenged the Commission’s jurisdiction, “[i]t is elementary law that a tribunal should determine its jurisdiction *before* addressing the merits of a controversy brought before it.” *MCS I*, 2022 WL 458569, at *5 (quoting *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 2001 WL 1632548 (ALJ 2001) (emphasis added).

ARGUMENT

I. The Commission has jurisdiction over Count I of PKDC’s Complaint

The complaint in this matter challenges, among other actions, a systematic 1) refusal to provide accommodations under a service contract; 2) refusal to provide accommodations under a service contract absent extracontractual payments; and 3) denial of space under a service contract in favor of shippers willing to pay higher rates. The Complaint alleges that CMA’s conduct was

unreasonable, pervasive throughout the duration of the contract and done to benefit CMA to the detriment of PKDC. In Count I, these actions are alleged to constitute a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Complainant's property in violation of Section 41102(c). Citing Section 40502(f),³ CMA claims that Count I should be dismissed "[b]ecause PKDC's 41102(c) claim with respect to CMA CGM's alleged failure to fulfill the service contract is a breach of contract claim rather than a shipping act claim." PMTD at 8. CMA is factually and legally incorrect.

It is well settled that the Commission has jurisdiction to hear claims even in instances where the conduct could also constitute a breach of contract. Indeed, CMA's argument has already been rejected in several recent decisions. In rejecting such an argument, the Commission has explained that not only does the Commission have the jurisdiction to review conduct that may constitute a breach of contract, but also the obligation to do so. Indeed, "[t]he Commission has an interest in ensuring that service contracts are used in a manner that complies with the Shipping Act and the Commission's regulations, so that it can be certain that the public and the shipping public are protected." *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda*, 2006 WL 2007808, at *7 (FMC 2006).

For example, on February 4, 2022, the Chief Administrative Law Judge (ALJ) denied a motion to dismiss in *MCS I* on nearly identical facts. In *MCS I* Complainant alleged that Respondent violated several sections of the Shipping Act, including Section 41102(c), as a result

³ 40502(f) of the Act states:

Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier.

of a systematic refusal to provide the complainant the space and/or the rates set forth in a service contract between the parties. As is the case here, respondent in *MCS I* filed a motion to dismiss arguing that the allegations amounted to a breach of contract and, under Section 40502(f), the Commission lacked jurisdiction. In denying the motion, the Chief ALJ explained that

the Commission has an obligation to determine whether an entity has violated the Shipping Act, **even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims. Allegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as failing to maintain or provide booking reports, systematically preferring higher-priced cargo, and coercing surcharges.**

MCS I, 2022 WL 458569, at *5

Ultimately, under the facts alleged, the Chief ALJ held that

Complainant alleges plausible violations of the Shipping Act in the receiving, handling, storing, or delivering of property. Accordingly, MSC Mediterranean Shipping has not established a basis to dismiss count I for lack of subject matter jurisdiction or failure to state a claim.

Id.

The *MCS I* matter was ultimately decided in the complainant's favor on default and was then reviewed by the full Commission. Notably, while remanding on certain damage issues, the full Commission affirmed the ALJ's decision on jurisdiction explaining that, "[a]s to the substance of the jurisdictional question, the ALJ's Decision is well-reasoned and is affirmed." *See MCS II*, 2024 WL 95383, at 7 (FMC 2024).

On February 18, 2022, two weeks after the decision in *MCS I*, the Chief ALJ again rejected an identical argument in *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, 2022 WL 538935, at *4 (ALJ 2022) (*OJ Commerce*). In *OJ Commerce*, like here, the complainant asserted that respondent systematically failed to meet its

quantity and rate commitments under a service contract, sought additional payments to carry cargo under the service contract, and sold contracted space to the highest bidder, all resulting in Complainant having to pay higher shipping costs.

The respondent in *OJ Commerce* filed a motion to dismiss because “[o]ne of the alleged violations of Section 41102(c) enumerated in the complaint is the failure to fulfill service obligations under a service contract,” but in actuality Complainant’s allegation represents “a claim for a breach of contract, not a claim of a violation of the Act.” *See OJ Commerce Motion to Dismiss*, FMC Docket No. 21-11, No. 11 at 3. In denying the motion, the Chief ALJ once again found that “[t]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act.” *OJ Commerce*, 2022 WL 538935, at *4 . (citing *Baltic Auto Shipping, Inc. v. Hitrinov*, 33 S.R.R. at 1230, 1232–33 (FMC 2015)).

Thereafter, in January 2023, the Chief ALJ denied yet another motion to dismiss raising a similar argument in *Way Interglobal Network, LLC, v. Shenzhen Uniflex SCM Limited*, 2023 WL 130654 (ALJ 2023)(*Way Interglobal*). The complainant alleged that certain of the Respondent’s conduct was contrary to the provisions of the parties’ shipping contract. Respondent alleged that the Commission lacked jurisdiction because “the alleged violations ‘are actually an alleged failure to fulfill service obligations under a service contract’ and that these claims raise a simple breach of contract claim and they therefore should be dismissed”. *Id.* at * 3. In denying the motion, the Chief ALJ once again explained that

[t]he complaint alleges violations of Shipping Act sections 41102(d), 41102(c), 41104(a)(1) and (4)(E), 41103(a), and 41104(a)(10), not violations of service contract terms. Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act.

Id.

Finally, just last week on June 26, 2024, the Commission once again rejected an identical argument in *20230930-DK-Butterfly-1, Inc. F/K/A Bed Bath & Beyond Inc., v. Evergreen Line Joint Service Agreement et al., (Bed Bath & Beyond)*, FMC Docket No 24-12, Order Denying Motion for Partial Dismissal of the Complaint Document No. 20. In *Bed Bath & Beyond*, respondent alleged a systematic refusal to honor contract commitments and the respondent sought to dismiss arguing a lack of jurisdiction. As the ALJ yet again explained,

Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. This means that even if Complainant's claims in Count I may state a claim for breach of contract in another forum, since they also state a claim for violation of 46 U.S.C. § 41102(c), the Commission has jurisdiction over the claim.

Bed Bath & Beyond at 6-7, (internal citations omitted)

Although CMA acknowledges the existence of such decisions, it asserts that the decisions are the result of “the Commission and its administrative Law judges fail[ing] to apply the *Cargo One* test correctly.” PMTD at 9-10. According to CMA, *Cargo One* stands for the proposition that there is a presumption that any claim challenging failures to provide space and rates under a shipping contract, constitutes no more than a “simple breach of contract claim” over which the Commission has no jurisdiction. PMTD at 9. Based upon its reading of *Cargo One*, CMA chastises the Commission and its administrative law judges alleging that “[i]nstead of requiring complainants to rebut a presumption that claims are ordinary breach of contract claims and disregarding Shipping Act verbiage, the Commission and its administrative law judges have improperly accepted at face value whatever characterization of a claim is set forth on the face of the complaint.” PMTD at 10. CMA is once again incorrect.

First, as explained in *Bed Bath & Beyond*, despite the assertions of various respondents seeking to avoid Commission scrutiny, the Commission and its ALJs have properly applied the Cargo One test and did so in *MCS I. Bed Bath & Beyond* at 8-9. As explained, under Cargo I, the Commission has the obligation to hear shipping act claims even where the conduct may breach a contract. *Id.*

Second, an accurate reading of *Cargo One* reveals that there is no presumption against jurisdiction in this matter or any matter simply because the complaint challenges conduct that may also constitute a breach of contract. In support of its “presumption” argument CMA focuses on one sentence in *Cargo One* stating that “as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.” PMTD at 9. However, CMA quotes but then ignores the very next sentence explaining that “in contrast, whether the alleged violation raises issues beyond contractual obligations, the commission will likely presume, unless facts as proven do not support such a claim, that the matter is appropriately before the agency.” *Id.* Here the violation alleged in Count I does indeed raise issues beyond contractual violations, specifically, the unique Shipping Act requirement that CMA establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property.

CMA’s violation in Count I is premised upon the allegations that it engaged in a systematic pattern of unreasonable behavior including systematic refusals to provide space or rates agreed to in service contracts and/or selling obligated space to the highest bidder which violates Section 41102(c). Notably, pleading and proving a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Complainant’s

property is not necessary to any breach of contract claim while it is for a claim of a violation of Section 41102(c), and therefore Count I raises issues peculiar to the Shipping Act. *MCS II*, 2024 WL 95383 at * 7 (“Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of carriers broader practices beyond those directly affecting the complainant”).

Indeed, the claim made in Count I is so peculiar to the Shipping Act, that it may not be brought or adjudicated in any other forum. In fact, PKDC could bring a breach of contract claim and still maintain its current action. As explained by the Commission in *Anchor Shipping*, even in instances where contract proceedings are ongoing in another forum or contract damages awarded, the Commission would still not be divested of jurisdiction to hear and adjudicate allegations of Shipping Act violations

Although the complainant in this case has already obtained an arbitration award relating to certain breach of contract allegations, the Commission is obligated to hear those allegations particular to the Shipping Act, which is consistent with our statutory mandate. Federal and Commission caselaw support the proposition that Anchor may still seek reparations before the Commission. Arbitration is binding on the parties as to breach of contract claims, but it cannot prohibit the Commission from exercising its statutory obligations. The Commission’s obligation to ensure the legality of service contracts is of paramount importance . . . Because alleged Shipping Act violations are intertwined with breach of contract issues in the present case, such matters must be resolved before the Commission.

Anchor Shipping, 2006 WL 2007808, at *10–11 (emphasis added).

As such, CMA’s recycled and previously rejected arguments against this Commission’s jurisdiction, interest, and obligation to hear and adjudicate the propriety of an ocean carrier’s conduct as it relates to shipping contracts should once again be flatly rejected.

II. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 46 U.S.C. § 41102(c)

Next, because CMA believes that the prohibitions contained in “Section 41102(c) of the Act applies only to terminal and forwarding services, and not to the transportation of cargo,” it asserts that Count I of Complaint fails to state a claim for which relief can be granted. PMTD at 12. CMA’s argument is without merit.

First, CMA’s argument is contrary to the broad, plain language of Section 41102(c). Had Congress wanted to limit this provision as suggested by CMA, it could have done so. Rather, Congress drafted the provision’s prohibitions to cover a broad range of common carrier, marine terminal operator, or ocean transportation intermediary conduct including that “relating to or connected with receiving, handling, storing or delivering property.” See Section 41102(c). The unreasonable and systematic refusal to accept carriage under a shipping contract or requiring extracontractual fees in order to do so are clearly “relating to or connected with the receiving, handling, storing or delivering property.”

Next, in support of its position CMA cites sixty- to eighty-year-old Commission decisions. PMTD at 15. These decisions are simply inapplicable as they do not deal with the same conduct complained of here. Further, while citing to these many-decades-old decisions, CMA fails to cite or discuss the *MCS I* decision where just two years ago, the Chief ALJ unequivocally held that nearly identical allegations constituted a plausible violation of Section 41102(c). Specifically, in *MCS I* the complainant alleged unjust and unreasonable practices, including “failing to maintain or provide booking reports to customers, **systematically preferring higher-priced cargo over performing on its service contracts, and deliberately coercing surcharges including [peak season surcharges (“PSS”)]** as a precondition to carry previously contracted cargo.” *MCS I*, 2022 WL 458659 at * 4. emphasis added. In denying the motion to dismiss, the Chief ALJ found that

these allegations were plausible violations of the “Shipping Act in the receiving, handling, storing, or delivering of property.” *Id* at * 6. Because the complaint pleads a plausible shipping act violation, CMA’s motion must be denied.

III. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 46 U.S.C. § 41104(a)(2)(A)

In Count III of its complaint PKDC alleges that CMA’s conduct, including systematically refusing space and requiring extracontractual payments to provide obligated space, violated Section 41104(a)(2). CMA argues that this Count must be dismissed because any rates charged were agreed upon by the parties and “seeking customer consent to an increased rate is not prohibited by Section 41104(a)(2) which merely prohibits the provision of service at unfiled rates.” PMTD at 5.

CMA is once again rewriting the Shipping Act to suit its argument. Section 41104(a)(2) is not as narrow as CMA suggests but broadly prohibits providing service in the liner trade that is not in accordance with rates, charges, classifications, rules and practices contained in a service contract. As the Chief ALJ has explained, Section 41104(2)(A) of “[t]he shipping act requires common carriers [] abide by the terms of their published tariffs and service contracts.” *MSC I*, 2022 WL 458569 at * 7. Here, PKDC alleges that CMA provided service in the liner trade not in accordance with the “rates, charges, classifications, rules and practices contained in a service contract” by refusing to abide by the contractual MQC and coercing extracontractual fees to carry cargo all in violation of Section 41104(2)(A).

More specifically PKDC alleges that 1) the contract, as originally agreed to by the parties in good faith required a minimum quantity commitment of 4,000 twenty-foot containers, 2) PKDC attempted to book this amount, and 3) CMA refused to carry the MQC and ultimately only carried approximately 1514 of the obligated TEUs. The complaint further alleges that as agreed upon, the

contract was not subject to the imposition of Peak Season Surcharges (PSS); however, CMA extracted additional payments by coercing PKDC to agree to PSS making it clear that “it [would be] difficult for [CMA] to consistently move volume for PKDC” without PSS and demanding additional fees in the form of SeaPriority Go. Complaint at 32, 34.

As alleged in the complaint, Respondent’s conduct resulted in “per container ocean freight rates thousands of dollars in excess of the shipping rates paid by Complainant to Respondent under the Service Contract as originally signed.” Complaint at 36. These allegations clearly set forth a plausible claim of a violation of Section 41104(a)(2)(A). Indeed, once again, the same argument was already rejected in *MSC I. MCSI*, 2022 WL 458659 at * 7 (“The complaint does not allege a breach of the service contract but rather that Respondent’s rules and practices violated the Shipping Act. Moreover, [41104(a)(2)(A)] specifically and explicitly applies to service contracts.”)

Further, that PKDC acquiesced to certain PSS is of no moment, as that acquiescence was the result of the coercive actions of CMA making such payments a pre-condition to carrying cargo CMA previously contracted to carry without the imposition of PSS. This Commission has already determined that a carrier cannot insulate itself from scrutiny through contractual provisions in *TCW, Inc., v. Evergreen Shipping Agency (America) Corporation & Evergreen Line Joint Service Agreement*, 2022 WL 18068977 * 5 (FMC 2022) citations omitted (*TCW II*). In *TCW II*, which is currently on appeal, the claimant and respondent entered into a service contract. Per the contract, the respondent would assess detention “for any returned equipment after the expiration of the free time, including on weekends and holidays.” *TCW II*, 2022 WL 18068977 *2. The claimant was then assessed detention charges including charges covering three days the port had been closed. The claimant disputed the charges for the days the port was closed. After the respondent denied the claim, a small claims action was filed before the FMC alleging a violation of Section 41102(c).

The Small Claims Officer (SCO) found the practice of invoicing detention when a container could not be returned to be a violation of 41102(c). The Commission requested review of the SCO's order and allowed the parties an opportunity to provide additional briefing. *Id.* *3. In its briefing before the Commission, the respondent argued that its invoicing of detention when a port was closed was not a "practice" subject to FMC review, but "merely 'contractual provisions ... that Claimant freely signed.'" *Id.* In rejecting this argument, the Commission held that it "can adjudicate allegations that contract terms are violative of the Shipping Act." As the Commission explained, ocean carriers "do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is Section 41102(c)." *Id.* Ultimately, and despite the contract providing for same, the Commission found that charging detention when a port is closed is unreasonable because the charges could not have "incentivized cargo movement given that the port was closed on these days, making it impossible for Claimant to return the equipment.'" *Id.* *TWC II* teaches that CMA's coercion of PSS amendments does not insulate it from this Commission's scrutiny for its Shipping Act violations.

Finally, CMA's assertion that the complaint does not allege any containers were moved at rates in excess of contract rates is simply incorrect. Indeed, the complaint specifically alleges two things, first the CMA coerced PKDC to sign amendments to include PSS not in the original contract and second that CMA coerced SPGO which is not for contract shipments but a separate premium service:

33. While rejecting shipments Complainant attempted to book under the rates contained in their valid Service Contract with Respondent, Respondent engaged in the unreasonable practice of extracting additional costs from Complainant not contemplated in the original Service Contract in order to carry Complainant's cargo. Those additional costs included PSS or "SeaPriority Go (SPGO)" fees. SPGO was a premium service

intended for one-of-a-kind priority shipments, and not contract shipments.

34. For example, on July 22, 2021, after months of failing to honor its quantity commitments, Respondent emailed Complainant that Respondent was “moving forward with PSS2/PSS3 for August 1 effective dates. Each PSS [was] \$600 respectively, which totals \$1200.” Respondent made clear that if Complainant did not acquiesce, “it [would be] difficult for [CMA] to consistently move volume for PKDC.” Because Respondent had already failed to honor its quantity commitments to Complainant under the Service Contract resulting in financial harm, Complainant had no choice but to acquiesce to a contract amendment adding PSS in an attempt to mitigate further harm. Such amendment, however, does not absolve Respondent of its violations of the Act.
35. For example, on September 15, 2021, after months of failing to honor its quantity commitments, Respondent emailed Complainant indicating that Respondent could “offer 15 FEU” but “it is your contract rate + SPGO (\$1800).”
36. Respondent’s demands for PSS and premium rates resulted in per container ocean freight rates thousands of dollars in excess of the shipping rates paid by Complainant to Respondent under the Service Contract as originally signed.

Because the complaint pleads a plausible Shipping Act violation, CMA’s motion must be denied.

IV. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 41104(a)(10)

Next, in Count V of its complaint, PKDC alleges that CMA’s systematic refusal to provide the space and rates agreed to by the parties in the service contract, despite repeated requests, violated Section 41104(a)(10) which prohibits unreasonable refusals to deal. CMA argues that this Count should be dismissed because CMA believes that Section 41104(a)(10) only prohibits a carrier from “shutting out” people from carriage. PMTD at 7. PKDC, according to CMA, does not argue that “CMA engaged in a shut out.” *Id.*

Once again Section 41104(a)(10) is not as narrow as CMA's argument would suggest. As admitted by CMA itself, "[m]ore recent decisions confirm that an unreasonable refusal to deal necessarily involves imposition by a common carrier of an unreasonable impediment to a shipper's access to common carriage." *Id.*

This is precisely what happened and has been alleged here. Specifically, the complaint alleges that CMA unreasonably refused to deal in violation of Section 41104(A)(10) by systematically refusing to provide the space accommodations and rates agreed to by the parties. CMA's refusals are alleged to have resulted in a mere fraction of the space agreed upon being provided to PKDC despite PKDC's repeated requests for carriage under the contract. Nonetheless, CMA auctioned the obligated space to the highest bidder. In fact, the complaint alleges that despite continued requests by PKDC to book the entire 4000 MQC, CMA only accepted approximately 1514 TEUs. The complaint also alleges that CMA would refuse to carry cargo unless PKDC paid significantly more than the rates freely agreed upon in the original contract through PSS and SPGO. In demanding further fees, the complaint alleges that CMA coerced the payment of such charges making it clear that it would be "very difficult" to carry PKDC's cargo absent the additional fees. Complaint at 34. The refusals and coercion resulted in PKDC having to expend sums far in excess of those agreed upon.

Clearly such behavior constitutes the imposition of an "unreasonable impediment to a shipper's access to common carriage."

In denying a similar argument, the Chief ALJ explained that

As factual support for refusal to deal, the amended complaint asserts "a systematic refusal to deal with Complainant that resulted in the failure to book Respondent's shipments" as well as "failing to provide contracted space, failing to book Complainant's cargo, failing to provide necessary information concerning booking issues, and engaging in a scheme to withhold service unless Complainant

agreed to PSS.” Amended complaint at 16-17, ¶¶ 83, 89.

Proving an unlawful refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10) requires that Complainant show that “(1) the respondent is a common carrier; (2) who actually refused to deal or negotiate; and (3) in doing so acted unreasonably.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *12-13 (FMC Oct. 29, 2020) (internal citations omitted).

The amended complaint alleges specific attempts to book and delayed responses or failures to book Respondent’s shipments, and is sufficient to allege that MSC Mediterranean Shipping unreasonably refused to deal or negotiate. As discussed above, these are not mere breach of contract claims but rather allegations of Shipping Act violations. Accepting the allegations in the amended complaint as true, the amended complaint alleges a plausible violation of Section 41104(a)(10).

MSC I, 2022 WL 458659 at * 9.

Even more recently, on June 26, 2024, a similar argument was also rejected in *Bed Bath & Beyond*. In *Bed Bath & Beyond*, respondent moved to dismiss a claim of a violation of Section 41104(a)(10) because the complaint cited emails where the parties discussed accommodations. In denying the motion to dismiss, the ALJ explained that “simply because the parties exchanged emails regarding vessel space accommodations does not mean, as a matter of law, the complaint fails to state a claim” for a violation of Section 41104(a)(10). *Bed Bath & Beyond* at 11. Indeed, as explained by the ALJ, the Complainant alleges that the emails demonstrate a refusal to negotiate for space on the terms agreed to as a means of coercing extracontractual charges and that space was available which sets forth a plausible violation of Section 41104(a)(10). Similar here, while CMA may not have “shut out” PKDC, PKDC alleges that CMA systematically refused to provide space despite repeated requests, coerced additional fees, sold space obligated to PKDC to the highest bidder all where space was available as demonstrated by PKDC’s cargo traveling on CMA ships after refusals where PKDC procured alternative shipping. Complaint at 29-31. Indeed,

PKDC has cited emails from CMA coercing PSS, SPGO and offering to remove other shippers from a CMA vessel if PKDC would pay an exorbitant amount.

Because the complaint pleads a plausible Shipping Act violation, CMA's motion must be denied.

V. The Complaint Pleads Sufficient Facts to State a Plausible Claim for Relief Under 41109(a)(9)

Finally, in Count IV PKDC alleges that CMA's conduct violated Section 41109(a)(9). Citing *OJ Commerce*, CMA argues that the count should be dismissed for failure to state a claim because Section 41109(a)(9) prohibits conduct targeted at a specific port but not a specific shipper. PMTD at 3.

However, as explained by the Commission in *MCS I*, with respect to any port, "[u]nder [Section 41109 (a)(9)], common carriers may offer different rates, but they may not do so in a manner that is undue or unreasonable." 2022 WL 458569 at * 8. Here, PKDC has alleged that CMA sold space obligated to PKDC to other shippers willing to pay in excess of PKDC's contract rates, and the contract sets forth specific ports.

Further, because discovery has yet to be conducted, the *MCS I* decision, not the *OJ Commerce* decision applies. As explained by the ALJ, the decision in *MCS I* was not applicable to *OJ Commerce* matter because *MCS I* was decided prior to discovery being taken. Likewise, discovery has yet to be conducted and as such CMA's motion must be denied.

CONCLUSION

For the forgoing reasons, Complainant respectfully requests that the Presiding Officer deny Respondent's Partial Motion to dismiss the Complaint in this matter and for any further relief that the Presiding Officer deems just and appropriate.

SANDLER, TRAVIS & ROSENBERG, P.A.

Attorneys for PKDC

675 Third Avenue, Suite 1805-06

New York, New York 10017

Telephone: (212) 549-0137

By: /s/ Jason M. Kenner
JASON M. KENNER

/s/ Andrew Margolis
ANDREW MARGOLIS

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 5th day of July 2024, the foregoing opposition was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

Wayne Rohde
Counsel for Respondent
WRohde@cozen.com

/s/ Jason M. Kenner